

respect to their preretirement years. A large proportion of respondents (79 percent) who thought “a lot” about retirement described their quality of life during retirement as equaling or exceeding that of their preretirement years. This evidence suggestively coincides with the low amount of asset accumulation estimated for nonplanners in Lusardi’s previous regressions. Rationally, households that accumulate less savings are probably more likely to experience an unpleasant “surprise” after retirement.

It can be concluded that a large percentage of U.S. households nearing retirement age inadequately plan for retirement. Although many explanations can be generated for these statistics, the reality is that people often simply do not think about retirement or do not want to sacrifice today to have future benefits. Lack of self-control (planning), Lusardi demonstrated, correlates with low aggregate wealth and results in portfolios that are less likely to contain high-return assets, such as stocks. Much research is needed to determine why households fail to plan for retirement and whether the provision of information (e.g., Social Security and pension benefits) might perhaps improve the financial security of many U.S. households.

DIAGNOSTIC TESTING

This section contains a brief diagnostic quiz that deals with issues of self-control.

Question 1: Suppose that you are in need of a new automobile. You have been driving your current car for seven years, and it’s time for a change. Assume that you do face some constraints in your purchase as “money doesn’t grow on trees.” Which of the following approaches are you most likely to take?

- a. I would typically underspend on a car because I view a car as transportation, and I don’t need anything fancy. Besides, I can save the extra money I might have spent on a fancy car and put it away in my savings accounts.
- b. I would typically purchase a medium-priced model, with some fancy options, simply because I enjoy a nice car. I may forgo other purchases in order to afford a nice car. I don’t imagine that I’d go crazy and purchase anything extravagant, but a nice car is something that I value to an extent and am willing to spend money to obtain this.
- c. When it comes to cars, I like to indulge myself. I’d probably splurge on a top-of-the-line model and select most or all available luxury options. Even if I must purchase this car at the expense of